ascentium

Startup toolkit

Chinese Mainland

Setting up and running a wholly foreign-owned enterprise (WFOE) in the Chinese Mainland.

Inside: the company at a glance · your first 90 days · the annual compliance calendar · are you an SME? · the documents to gather · how Ascentium helps

Mock toolkit prepared for a concept prototype. Not legal, tax or financial advice.
Information as at November 2026. Verify figures with the relevant authority before relying on them.

1. Your company at a glance

Item	What applies
Entity	Wholly foreign-owned enterprise (WFOE), usually a limited liability company
Registry	State Administration for Market Regulation (SAMR) and its local bureaus
Registered capital	Subscribed capital must generally be paid in within five years of incorporation
Legal representative	An individual named on the business licence; often the general manager
Corporate tax	25% standard rate, with reduced effective rates for qualifying small low-profit enterprises
Other registrations	Tax, foreign exchange, social insurance and customs (for trading companies)

Good to know

Your business scope on the licence limits what the company may do. Draft it carefully: changing it later needs a new filing.

2. Your first 90 days

Tick these off in order. Your Ascentium dashboard tracks each one and Ascentia will remind you before anything falls due.

- ☐ **Confirm name and business scope**
  Pre-approve the Chinese name and the activities the licence will list.
- ☐ **Obtain the business licence**
  File with the local SAMR bureau and receive the unified social credit code.
- ☐ **Carve the company chops**
  Register the official seals with the public security bureau.
- ☐ **Open bank accounts**
  A basic RMB account and a capital account for foreign currency injections.
- ☐ **Register for tax**
  Set up invoicing (fapiao) and confirm your VAT status.
- ☐ **Hiring?**
  Register for social insurance and the housing fund before the first payroll.

3. Annual compliance calendar

The recurring obligations most small private companies meet each year. Exact dates depend on your financial year-end and on notices issued by the authorities.

Obligation	When	Authority
Monthly or quarterly VAT and CIT prepayments	By the 15th of the following month or quarter	State Taxation Administration
Annual CIT reconciliation	By 31 May	State Taxation Administration
Annual report	By 30 June	SAMR (enterprise credit system)
Annual statutory audit	Before the CIT reconciliation, in practice	Licensed CPA firm
Foreign investment information report	With the annual report	MOFCOM via SAMR

4. Are you an SME?

China classifies SMEs by industry under its 2011 standard. For example: industry, fewer than 1,000 employees or revenue under CN¥400 million; software and IT services, fewer than 300 employees or revenue under CN¥100 million. A revised standard is in consultation.

Ascentium SME pricing

If your company, assessed together with any linked group companies, meets the official SME definition above, you qualify for Ascentium SME fares and the AI platform. Larger groups are served by Ascentium for Enterprise at ascentium.com.

5. Documents to gather

- ☐ **Passport for the investor, directors, supervisor and legal representative**
- ☐ **Certificate of incorporation for a corporate investor, notarised and legalised**
- ☐ **Lease agreement for the registered address**
- ☐ **Proposed Chinese name and business scope**
- ☐ **Bank reference letter for the investor**

6. How Ascentium helps

AI compliance dashboard	A live compliance score for every entity, with each filing, deadline and document in one view.
Ascentia, AI voice assistant	Ask about your status, deadlines or a change, 24/7, and get a qualified expert when judgement is needed.
Premium Economy fare	Licence application, chops, tax registration, bookkeeping and the annual CIT reconciliation from CN¥29,800 a year.
Switching is easy	Moving from another provider? We take over registers and records and file the change for you.